ECONOMY

FDI SLIPPAGE WORRY

Net foreign direct investment has been on a slide as MNCs repatriate more earnings. Indian firms too increase their overseas investments, narrowing the gap between inflows and outflows

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NET FDI INFLOWS ARE DOWN

Gross FDI*

↑$81 bn

(Rs 6.9 lakh cr.)

Up 14% in FY25, from $71.3 billion (Rs 6 lakh cr.) in FY24

Net FDI#

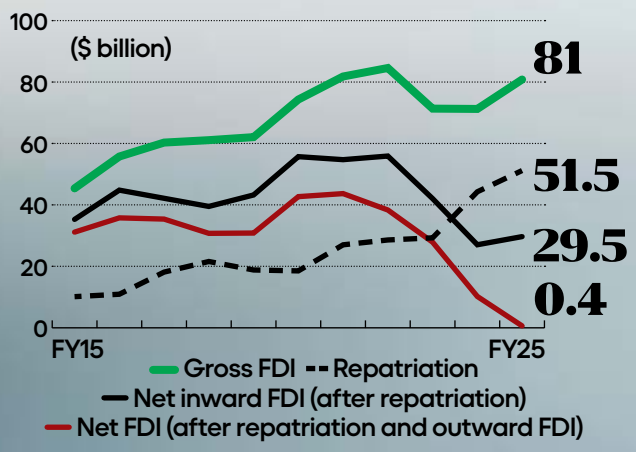
↓$0.4 bn

(Rs 3,427 cr.)

Down 96% in FY25, from $10 billion (Rs 85,690 cr.) in FY24

***Gross FDI** is the total investment made by foreign entities directly into the productive assets of India

#**Net FDI** is the difference between gross FDI inflows and outflows, including repatriation and outward FDI by domestic firms



$29.1 bn (Rs 2.5 lakh cr.)

Outbound FDI by Indian firms in FY25

Source: RBI; all dollar-rupee conversions are based on the exchange rates as of June 24

BEHIND THE NET FDI SLIDE

High repatriation: MNCs take their investments back to their home country after earning returns through the automatic route after a three-year lock-in period, a share buyback and remittance of assets like proceeds from shares and securities

↘ Experts say there is a trading mentality among foreign investors rather than a commitment to long-term capital formation

↘ This "inward orientation" has been prominent especially after the global financial crisis

↘ The multitude of regulations that companies need to comply with in India also make it tough to do business

Outward FDI: More Indian companies are expanding and diversifying by investing abroad, aided by the Overseas Direct Investment or ODI guidelines liberalised in 2022

WHAT DOES IT MEAN?

India is losing more investment than it is attracting. While some would argue that both higher repatriation and higher overseas investment are signs of a more mature economy, others would want to see a much more favourable investment climate in the country that will encourage more inward FDI